

Building for ActCAD, or building for the world?

A directors briefing — concept approval in principle

Companion documents already circulated: [docs/tejascad-story.md](#) · [docs/tejascad-company-structure.md](#)
· [docs/tejascad-vs-intellicad.md](#) · [docs/tejascad-licensing-architecture.md](#)

Working brand TejasCAD pending TM clearance. ITC and ODA pricing are actuals we pay or can verify; our own projections are illustrative. This briefing asks for concept approval, not a spend commitment.

The decision on the table today

We are already re-architecting ActCAD off IntelliCAD onto our own engine. **That work continues either way.**

Do we build the new engine only for ActCAD — or do we build it as a platform that ActCAD is the anchor tenant of, and license the same platform to other CAD vendors under their own brand?

Why the question arises now: every seam we are building to serve ActCAD — the tenant-profile layer, the license service, the plugin host, the AI agent — **is exactly what a white-label CAD platform needs.** We are paying for it either way.

And the market it would serve is specific: ~40 IntelliCAD Consortium members stuck where ActCAD was · ~200 vertical ISVs with no clean engine to license · a BIM-lite startup segment that cannot afford to build one. **They already spend \$700K–1.3M a year all-in on a foundation they don't love.**

“Can we build it?” is settled. Phase 0 is six weeks in, ~207 commits, with a working viewer the ActCAD team beta-tests daily. **This is a strategy conversation now, not a feasibility one.**

Phase 0 today — what already ships

Six weeks in, ~207 commits, versioning aligned to ActCAD's own (26.1 → 26.3.7, the latest drop fixing 5 team-reported bugs).

AREA	STATUS
DWG/DXF open	Real customer files open in the browser on WASM + ODA inWEB. Both backends live.
Measurement + snap + count	Full 14-mode AutoCAD/ActCAD osnap suite; count + CSV/Excel export; quick calc.
Rendering perf	250K entities at 61 fps via region rendering + culling; regen 17× faster; instant zoom-extents.
3D	Visualize camera bound — orbit, standard views, live 3D ViewCube shipping. Layouts + paper space viewports work end-to-end.
Beyond scope	DWG ↔ DWG + PDF revision comparison, color plotting, batch print, print-to-PDF, sidecar markup overlays.
Distribution	Tauri Windows MSI + <code>setup.exe</code> shipping. macOS CI build green. Android Tauri prototype exists.
Test posture	594/594 web tests green; gate-5 native harness (22 cases, 223 assertions) exercises the ui-bridge with no shell-specific branching in core.
Feedback loop	The ActCAD team is the de-facto closed beta — filing numbered bugs against each drop, driving priorities. 13+ release drops delivered.
The one hard rule	Read-only guarantee has held throughout. No <code>db</code> writes anywhere in the codebase. Structurally intact.

Competitive posture from live testing: the new viewer is **faster than ActCAD's current product on many customer files, and significantly better than IntelliCAD's viewer and ODA's own web viewer**. The engineering work has already produced a best-in-class result — before we've even shipped it publicly.

Still owed from the exit criteria: customer-hardware perf gate measurement (2019-i5 baseline) and public web adoption signal (there is no public launch yet).

Vendor blockers logged: three ODA inWEB gaps (paper-space engine abort, TTF tessellation quality, unbound `appServices`) — all filed / worked around; none block the strategy.

The case against this — stated as strongly as we can put it

This deserves a real hearing, not a strawman. The argument against is serious:

1. **“We are a CAD company, not a platform company.”** Selling to other software vendors is a different business — different sales motion, different support model, different skills. We have never done it. Why would we be good at it?
2. **“It distracts from the thing that actually matters.”** We are mid-rebuild of our core product. Nothing is more important than ActCAD-new reaching GA. Three to six engineer-months understates it — **the real cost is management attention**, which is our scarcest resource.
3. **“The money isn’t worth the trouble.”** We have just been told this is not venture-scale. For \$2–7M a year, we take on partner obligations, a second entity, two sets of books, and a duty to support other companies’ engineering teams.
4. **“We would be arming competitors.”** Especially at the Complete tier. Why hand fifteen years of our vertical work to a vendor who may meet us in a tender next year?
5. **“Members will constrain our roadmap.”** A member needs feature X; ActCAD needs feature Y. Once we have paying partners, we are no longer free to choose Y.
6. **“Nobody has asked for this.”** Zero members. Zero LOIs. This is a solution in search of a problem.
7. **“IntelliCAD members are sticky.”** They have been there twenty years. Switching costs are enormous. Why would they move now, for us?
8. **“We do not have the team to do this.”** The deep engine work is not what ActCAD’s engineers do today. **A platform team has to be hired, from scratch, in a competitive market** — and until it exists, every estimate on these slides is provisional.

Points 2, 3, 5, 6 and 8 are substantially correct. The next slide is where we agree with them and explain why we still think the answer is yes.

Why the answer is still yes — and where the objection lands

THE OBJECTION	OUR HONEST ANSWER
We're not a platform company	True today. But we do not have to become one to keep the option. Nothing before the month-24 gate requires a platform sales team.
It distracts from ActCAD	Partly conceded — management attention is the real cost. But the engineering argument runs the other way: see below.
The money is modest	Conceded. \$2–7M/yr at ~70% margin. Worth having, not transformational. If that alone were the case, we would not propose it.
Arming competitors	Real. Which is why Complete is gated by named-competitor exclusion and territory carve-out — and why we can simply choose not to sell that tier.
Members constrain the roadmap	Conceded, and it is the one that worries us most. Mitigation: members get roadmap <i>input</i> , never a veto. Only Founding Partners get a seat, and it is advisory.
No validated demand	Fully conceded. We have zero LOIs. That is precisely why the ask is concept approval and why there is a hard kill switch at month 24 .
ITC members are sticky	True — which is why the realistic base case is 12 members in seven years , not fifty. The model already assumes they move slowly.
We don't have the team	Conceded, and it is the biggest execution risk. The platform team must be hired. But note: we need that team for ActCAD-new regardless — the engine does not build itself either way. The platform spreads its cost, it does not create it.

The single argument that carries the decision: building multi-tenant makes ActCAD better even if no member ever signs.

The tenant seam touches six of our ten modules. Building it now forces: no ActCAD-specific hacks in the core, a real plugin API instead of internal coupling, configuration-driven behaviour instead of hardcoded assumptions, and a proper licensing abstraction. **Teams building for one customer accumulate coupling. Teams building for N stay clean.**

Retrofitting multi-tenancy later is not 3–6 engineer-months — it is a rewrite of those six modules after they have hardened around single-tenant assumptions. That asymmetry is the whole argument. **We are not deciding to become a platform company today. We are deciding whether to keep the door open cheaply, or close it expensively.**

What this means for ActCAD — and for the partner who runs it

The person running ActCAD carries the most risk in this and should carry the most protection. These are commitments, not assurances.

THE CONCERN	THE COMMITMENT
Who owns the roadmap?	ActCAD's operating partner holds final say on engine priorities . Members get input. No member request enters the engine roadmap over ActCAD's objection.
Does my team become a support desk?	No — and they are not the ones who could. Deep engine and platform work sits with the platform team. ActCAD's team does what it is genuinely best at: domain expertise, verticals, IRX-level customisation, product judgement. Platform L3 support is separate headcount, funded from member fees.
Who decides we're arming a competitor?	You do. Whether we sell any tier to a given vendor is ActCAD's operating call, not a committee's. Named-competitor exclusion is a veto you hold , not a clause you hope works.
Does ActCAD wait behind members?	Every platform capability lands in ActCAD first , before it is offered to any member. We are not building for members at ActCAD's expense.
What do I get out of it?	The same 50/50 partnership, carried into the new entity. Not a minority stake in someone else's venture — the identical split we have in ActCAD today. You are a principal on both sides, in equal measure.
Whose expertise is this built on?	The verticals are licensable <i>because of</i> fifteen years of ActCAD product judgement. That is the input the platform cannot buy — recognised in role and equity, not merely acknowledged.

ActCAD is the anchor tenant, not a subordinate. The platform exists because ActCAD needed a modern engine — not the other way round.

One consequence of us all being on both sides, stated plainly: common ownership makes alignment easy and makes **written discipline more necessary, not less.** When the same people sit on both sides of an intercompany agreement, **nothing enforces arm's-length pricing except the agreement itself** — and a future investor or acquirer will examine exactly that in diligence. The discipline protects the *value* of both entities, not one from the other.

And what does *not* change, explicitly:

ActCAD brand, customers, channel, pricing	No change
Jytra's ownership of ActCAD	No change
How ActCAD is sold, and by whom	No change — same sales organisation, same customers
Existing customer commitments	Fully honoured , migration staged over 24 months

If ActCAD and the platform ever conflict, ActCAD wins. Worth writing down now — while we all agree — precisely because we are the same people today and may not always be the ones making the call.

Who actually builds this — an honest division of labour

The two teams are good at different things, and the plan should say so plainly rather than assume everyone does everything.

FUNCTION	WHO DOES IT
Engine, multi-tenancy, licensing infrastructure, deep systems work	TejasCAD's own dev team — hired into the new entity. C++/Rust systems engineering.
QA, release engineering, the corpus and regression harness	TejasCAD QA — hired. Phase 0 already runs 594 web tests and a native gate harness; that discipline needs staffing to scale.
Dev support — SDK, docs, migration engineering, member L3	TejasCAD dev support — hired. This is the function that keeps members off ActCAD's team.
Domain expertise, verticals, IRX-level customisation, product judgement, what customers actually need	ActCAD's team. Fifteen years of it, and not replaceable by hiring.
Member acquisition — selling platform memberships	TejasCAD. Founder-led warm intros first; a partnerships hire only once there is something to sell. Few deals, long cycles, senior conversations.
Selling ActCAD to end customers	ActCAD's existing sales organisation. Completely unchanged. New engine, same channel, same team, same customers.
A member's own L1 / L2 support and their end-customer sales	The member. Never us.

This is a genuine complementarity, not a polite division. The verticals are the most differentiated thing we can license — and they exist because of domain judgement the platform team could not produce. The engine exists because of systems work the ActCAD team does not do. **Neither half is sufficient alone.**

Three things follow, and they should be said plainly:

1. **The TejasCAD team does not exist yet.** Dev, QA and dev support all have to be hired. **Recruitment and ramp are the real schedule risk** — more than the architecture, which is already proving out in Phase 0.
2. **That team is the engine team.** It is not an extra cost created by the platform — **it is the cost of building ActCAD-new, which we are paying either way.** The platform decides who employs them and who else helps pay for them.
3. **Which makes ActCAD's member fee the actual funding mechanism, not bookkeeping.** For the first two years there are no external members. **ActCAD is what funds the platform team** — that is precisely why its fee has to be a real, arm's-length number rather than a notional entry.

The kill switch — how this ends if it isn't working

A yes today is not open-ended. It buys an option with a defined expiry and a defined test.

GATE	WHEN	TEST	IF IT FAILS
Outreach check	Month 12	Have 8–10 qualified member conversations happened?	Stop outbound. Keep building the seam — it pays for itself in ActCAD's architecture regardless.
The real gate	Month 24, at ActCAD-new GA	Are there ≥ 2 members at signed LOI?	We stop. No platform entity, no partner obligations, no second set of books.
Tier decision	Before first Complete sale	Does licensing our verticals threaten ActCAD in that member's territory?	Don't sell that tier to that member.

If the month-24 gate fails, what have we lost? Three to six engineer-months — spent on architecture we would defend on ActCAD's own merits anyway.

And what we would still have: a cleanly-separated engine, a real plugin API, configuration-driven behaviour, a proper licensing abstraction, and ActCAD shipping on all of it. **That is the downside case. It is not a bad one.**

For anyone not yet convinced: this is the slide to hold us to. Approving the concept does not commit the company to becoming a platform business. It commits us to **coming back to this room at month 24 with either two signed LOIs or a recommendation to stop.**

Building for ActCAD vs building for the world — the two paths, side by side

DIMENSION	BUILD FOR ACTCAD ONLY	BUILD AS A PLATFORM (ACTCAD = ANCHOR TENANT)
Engine work	Same	Same
Ship date	~24 months to GA	Same 24 months to GA + tenant-profile discipline in P1
Extra P1 engineering cost	Baseline	~3–6 engineer-months for the tenant layer done properly
Revenue model	ActCAD license + AI/cloud subs	Same for ActCAD plus member fees + royalty pass-through + marketplace share + vertical co-development royalties
Passive-revenue upside	Zero	Real — every member added is annuity income from work we already did
Exit optionality	ActCAD sold as a product	A second, separately saleable asset — modest on its own (~\$14–54M, see scenarios), but it also makes ActCAD itself a cleaner acquisition
Risk if platform play fails	—	We still shipped a great ActCAD. Nothing wasted.

If the answer is no, nothing breaks. We still ship modern ActCAD in 24 months, save ~3–6 engineer-months, and take on no partner obligations, no second entity, no second set of books. We forgo a ~\$2–7M/yr line at ~70% margin.

The one thing a no forecloses that is hard to reopen is the architecture. Everything else on this list can be revisited in three years.
The tenant seam is materially cheaper to build now than to retrofit — which is why we are asking now rather than after GA.

What a member pays IntelliCAD today — and what they actually get for it

We are an IntelliCAD member. We know this market’s economics because we live them.

ACTCAD’S ITC BILL	AMOUNT
ITC membership + extras	~\$100K / year
Per-seat royalty to ITC	\$0 — royalty-free at the ITC level
Component royalties (ACIS and a few others)	\$15–20 per sale

But the membership fee is the small part of the cost. What ITC hands you is roughly **a million lines of source code**. That is not a product you can ship. It is a codebase you now have to staff, patch, fork, and re-merge on every ITC version uptake — **forever** — before you can sell a single seat.

The real cost of being an IntelliCAD member:

LINE	TYPICAL MID-SIZE MEMBER
ITC membership + extras	~\$100K
Component royalties (~3–4K sales/yr)	~\$60K
Third-party DRM (Sentinel / Reprise) + integration	\$50–150K
6–8 engineers maintaining the fork and building features	\$500K–1M
Realistic all-in cost of ownership	~\$700K – \$1.3M / year

What ITC sells as paid add-ons — and what they actually are:

ADD-ON	ITC PRICE	REALITY
AI	~\$7–8K / yr	Experimental. Unclear how much is genuinely usable.
Android viewer	~\$8K / yr	Exists, but weak.
Mac / full web app / web editor	—	Not available. IntelliCAD is Windows-tied.

The add-ons are cheap because they are not really products. That matters for how we price: **we bundle, we do not itemize**. The moment we put a line item called “AI” on a quote, we get compared to an \$8K experiment. Bundled into one platform fee that retires most of a \$700K–1.3M stack, the comparison is the one we want.

IntelliCAD++ — the same idea, with ownership and responsibility fixed

The consortium model was right about one thing: small CAD vendors cannot each fund an engine. What it got wrong is who owns the result and who carries the burden of it.

What you receive	~1M lines of source	A shipping product you configure
Who maintains the engine	You do. Forever. Fork it, patch it, re-merge on every uptake	We do. You never touch engine code
Who owns the IP	Consortium-held; you hold a licence	Platform-held; you hold a licence — and founding members hold equity
Who sets direction	Member supermajority. The slowest member sets the pace	Platform decides. Members have voice, not veto
Engine bugs	You fix them yourself, in source — then your fix flows to every member including competitors, and you carry the re-merge burden forever	We fix them, and the fix ships to every member. You benefit from every other member's reported bug without having funded any of it
Your proprietary work	Blurred — your engine patches and your product code are intertwined	Clean: your plugins, verticals, tenant configuration and UI stay entirely yours
Release cadence	Coordinated, annual	Rolling. You ship when you are ready
Platform reach	Windows	Windows, Mac, Linux, web, Android
AI	~\$8K experimental add-on	In every tier
Licensing / DRM	Buy your own	Included, and platform-blind

The consortium gave members shared ownership of a codebase and sole responsibility for running it. We invert that: we carry the responsibility, and we share the ownership with the members who matter most.

The “++” is not just a better engine — it is a better deal on who does the work. That is the sentence to lead with in every member conversation.

On shared fixes, to be precise — because it sounds like the ITC problem and is its opposite. Engine fixes *do* reach every member. The difference is who paid for them. Under ITC a member spends their own engineers fixing the engine and watches that investment reach competitors. Here, nobody’s engineers are spent on the engine but ours — so a shared fix pool is something each member draws from rather than contributes to. What stays proprietary is the work that actually differentiates them: their plugins, verticals, configuration and UI.

We are already running this model. ActCAD's team files numbered bugs against each drop and we ship fixes back — 13+ releases so far. **ActCAD is member zero, and the arrangement is working before we have written a contract for it.**

⚠ One thing this raises that needs deciding: how far the ownership-sharing goes. Founding Partner warrants are three small slots — parity between us is preserved. **Going further, toward genuine member co-ownership, buys deeper commitment but reintroduces exactly the governance drag that made ITC slow.** Our position is warrants yes, votes no — but it is a decision, not a given.

What each tier gates — and what it costs

TIER	WHAT IT UNLOCKS
Core	Engine, DWG/DXF fidelity, white-label shell + build pipeline, encrypted licensing, and AI
Plus	+ web app, Mac, Android , marketplace access, cloud AI
Complete	+ the ActCAD-derived vertical modules (Arch / Mech / Elec / BIM / GIS), co-development priority

\$300K on day one is steep for a vendor paying ITC \$100K. So we don't ask on day one, and we don't charge everyone the same — **the band is set by the member's own installed base:**

MEMBER'S SEAT BASE			
Launch — under 5,000	\$90K	\$130K	\$190K
Growth — 5,000–20,000	\$180K	\$230K	\$300K
Scale — 20,000–50,000	\$300K	\$360K – <i>ActCAD</i>	\$450K
Enterprise — 50,000+	\$450K	\$520K	\$620K+

Ramped 50% / 75% / 100% across migration years 1–3, because their revenue on our platform ramps too. **Component royalties (ACIS etc.) pass through at cost** — no markup on the one number they can compare directly.

AI is in every tier deliberately — it is our sharpest edge over IntelliCAD and belongs in front of every member's customers. **But the capability is bundled and the consumption is metered** (allowance, then at cost, or bring-your-own-key) — unmetered inference against a fixed fee is an unbounded liability. *Detail in appendix.*

⚠ Complete needs a decision, not just a price. Licensing our verticals arms vendors who may compete with ActCAD. The named-competitor exclusion is **a veto held by ActCAD's operating partner** — see the earlier slide.

3D (future, out of scope today): a separate product on the **C3D kernel**, eventually an additional module. Russian-origin — **export/jurisdiction constraints need clearing before it is licensed onward to EU/UK/US members.**

What this could become — conservative, base, aggressive

Two variables drive everything: **how many members we sign**, and **what mix of tiers they buy**.

Commercial members by Y7 (incl. ActCAD)	5	12	20
Developer-tier members (funnel)	~10	~40	~80
Tier mix	mostly Launch / Core	the mix in the appendix	skews Growth+ / Plus & Complete
Blended fee per member	~\$105K	~\$181K	~\$285K
+ marketplace & vertical royalties	~\$25K	~\$50K	~\$50K
Platform ARR at Y7	~\$650K	~\$2.8M	~\$6.7M
Gross margin	~68%	~70%	~73%
Annual profit contribution	~\$440K	~\$2.0M	~\$4.9M
Indicative exit multiple	—	5–6×	7–8×
Indicative enterprise value	not saleable at this scale	~\$14–17M	~\$47–54M
What we'd likely do	Don't sell. Run it — it pays for itself	Sell, or keep compounding	Competitive process; genuine strategic interest

Developer-tier revenue is excluded above — at \$4K it is immaterial (~\$320K even at 80 members). Its value is the graduation pipeline into the commercial tiers, which is what makes the Y8–12 picture bigger than the Y7 one.

Component royalties (ACIS etc.) are excluded throughout — they pass through at cost and earn us nothing.

The honest read: a strong adjacent business line, not a venture-scale company. The aggressive case is a ~\$7M ARR business worth ~\$50M, throwing off ~\$5M/year. That is an excellent return on a few engineer-months of incremental work on an engine we are funding anyway — and it is not a unicorn.

What would make it materially bigger? Not this model. Twenty members at \$340K caps out near \$50M. Reaching \$20M+ ARR needs **~60–100 members** (the global long tail, a decade of partner management), or selling **direct to end users** alongside our members, or **a second licensable product line — the 3D product on C3D is the obvious candidate**. All three are questions to open deliberately later, not to assume today.

Funding path — and what actually sets an acquisition floor

Promoter-funded at the start, as intended. But the ask is small, because the expensive part is already committed.

STAGE	WHEN	SIZE	PURPOSE
Promoter seed	Now → Y2	\$1–2M	Platform layer + licensing infra + first member onboarding. The engine is already funded and building — this is the increment on top.
Strategic round <i>(optional)</i>	Y4–5	\$5–10M at \$40–60M pre	The floor-setter. See below.
Exit	Y6–7	Target \$50–100M	Competitive process, if the strategic round created tension

On setting a floor — the honest mechanics:

- A priced round’s post-money **does** anchor board and shareholder expectations. That part is real.
- But it only holds **if the valuation was defensible**. An inflated round doesn’t create a floor — it creates down-round risk and scares acquirers off.
- **What actually forces price up is competition between buyers, not a prior round.**

So the highest-leverage move is not a big financial round — it’s a small strategic one. \$5–10M from a *plausible acquirer* (an ODA-ecosystem vendor, a CAD-adjacent strategic, an Indian engineering major) does three things a financial round cannot: it **sets a defensible floor**, it **puts a real buyer on the cap table**, and it **forces rival buyers to move** rather than wait.

And a caution worth stating plainly: at ~74% margins this business likely **self-funds from year 3**. Raising money we don’t need is dilution without benefit. **Take the strategic round for the strategic reason — the floor and the tension — not for the cash.**

What we're asking today — and what we're explicitly NOT asking

We're asking for: concept approval in principle. That's it.

That approval unlocks the following prep work — none of which commits capital or public communication:

- Draft Master Platform License Agreement template (Jytra ↔ TejasCAD)
- Open trademark clearance on TejasCAD + sub-brand family (TejasCAD Engine / Forge / Cloud / SDK)
- Corporate counsel scoping of the entity structure — **note the earlier Delaware C-Corp recommendation was premised on institutional VC rounds we are no longer planning; a simpler Indian structure may now be correct**
- Non-binding scoping conversation with 3–5 candidate member CEOs (all in ActCAD's existing warm network)
- Encrypted licensing v0 design review with an external crypto firm

We are NOT asking today for:

- Capital commitment (the \$1–2M promoter seed is a separate, later decision)
- Public announcement of any kind
- Entity incorporation (that follows counsel review)
- ACIS platform-amendment negotiation with Spatial (that follows the bilateral first)
- Any change to how ActCAD is run today

Three questions worth sitting with before you answer:

1. **Is a ~\$3–7M/year, ~75%-margin adjacent business worth the operational complexity** of a second entity, partner relationships, and supporting other vendors' teams? The revenue is real but not transformational.
2. **Are we willing to run two clean entities**, with ActCAD paying standard member fees like anyone else — knowing that fee is what actually funds the platform team in the early years?
3. **Do we want to be the ones who build this** — accepting it is a **profitable business line, not a venture-scale outcome**, unless we later choose a much bigger distribution model?

What we are NOT asking you to fund today: the engine. That is already committed and building. The platform layer is **~3–6 engineer-months incremental** on work in flight.

What happens on Monday if the concept is approved

Week 1 (this coming week): - Legal engagement: entity structure scoping (Delaware C-Corp vs simpler Indian structure — the funding path has changed) - Trademark clearance opens on TejasCAD + sub-brand family - Draft of Master Platform License Agreement between Jytra and TejasCAD - **Phase 0 engineering continues at current pace** — no disruption, no scope change; the tenant-profile discipline gets folded into the build pipeline that already exists

Weeks 2–4: - Draft of the \$1–2M promoter seed structure (equity + convertible notes) - First soft conversation with 2 candidate members from ActCAD's warm network — no LOI ask, just problem discovery. **We can show them the working viewer.** - External crypto firm engaged to review encrypted licensing v0 design - Customer-hardware perf baseline measurement (the exit criterion still owed from Phase 0) - **Instrument AI inference cost per active user** — the number that sizes the allowance and protects the margin - Public web-launch decision — first candidate-member conversations may benefit from a controlled public demo

By month 2, we come back to this room with: - A confirmed entity plan - A trademark status update - Notes from the first 2 candidate-member conversations — **live product in hand for the demo, not slides** - A firm number on the promoter seed - Customer-hardware perf numbers to close the last Phase 0 exit criterion

Nothing between now and month 2 is publicly visible. Nothing commits capital or brand until the promoter group approves the next step. Phase 0 engineering keeps shipping through all of it.

The ask, in one line

Approve TejasCAD as a concept in principle — turn on the pre-work that lets us come back with real answers in eight weeks.

[docs/tejasCad-story.md](#) · [docs/tejasCad-company-structure.md](#) · [docs/tejasCad-vs-intellicad.md](#) · [docs/tejasCad-licensing-architecture.md](#) · [docs/tejasCad-pitch-deck.md](#)

Questions?

Appendix

Commercial model detail

Pricing mechanics, tier gating, AI metering, founding-member terms, member onboarding, and the licensing trust story. Here if the conversation goes there — not part of the main line.

The Phase 1 architectural direction — what we already know

The viewer is proving something else: **some ODA features are not exposed through the web stack**. For those, the full-editor product needs a **native application** path, not just a browser.

Plan (already consistent with the original re-architecture plan):

- **Now → viewer launch:** continue on the current Rust/Tauri + WASM/inWEB stack. Ship the viewer.
- **After viewer launch: migrate the full-product to Qt + C++ native.** This is where the ODA features currently missing from the web stack become available, and where the ActCAD team wants to live long-term.
- **The web viewer:** either **folds into the Qt stack** as an alternate frontend on the same C++ engine, or **stays on Rust/Tauri** as an independent codebase. Open decision — settled with data during the migration.

Why the directors should hear this now:

- The Qt/C++ direction is not a change of plan; it is what the re-architecture always intended for the full product. The Rust/Tauri viewer is the entry point, not the destination.
- The “should the web viewer live in Qt or stay Rust/Tauri?” question is a **healthy** architectural choice we get to make after the viewer ships, not a fire we’re fighting.
- **None of this changes the platform argument.** The platform seams (tenant profile, encrypted licensing, marketplace, MCP agent) live in the C++ core regardless of which shell wraps them.

Who our first members would be

Not competition. Segments where they'd rather share the platform cost than fund the R&D alone.

SEGMENT	WHAT THEY ARE	WHY THEY'D TALK TO US
Regional ITC members	progeCAD, CADian, CMS IntelliCAD, DoubleCAD, and the long tail of regional / vertical ITC-based products	Stuck on the IntelliCAD ceiling for AI / cloud / web / mobile — and paying their own engineers to fix an engine, only for that work to reach competitors.
Vertical ISVs	MEP, structural, electrical, survey, solar, curtain-wall specialists	No clean engine option. Forced onto AutoCAD SDK or DIY. Would ship a full branded CAD in 90 days on us.
BIM-lite startups	New AEC-tech founders in Bengaluru, EU, ME, LATAM	Need CAD + IFC + AI foundation; can't afford to build it

To be clear about who is NOT on this list: BricsCAD, ZWCAD, and GstarCAD are **peers, not prospects**. They each already left IntelliCAD and built their own engine direct on ODA — ZWCAD and GstarCAD are among ActCAD's most direct competitors in India today.

We do not white-label to them.

That they made this exact move — and won — is the strongest external validation of the direction. We're taking the same road they took, and adding the white-label layer none of them built.

We approach the real prospects warmly, from ActCAD's existing network — not cold outbound. The founder's own relationships across India / SEA / MEA / EU open the first 10–15 conversations without a sales team.

How we bring a member on — the 90-day pattern

Members don't build. Members configure. That is the whole point.

WEEK	WHAT HAPPENS	WHO DOES IT
W0	LOI signed. Member gets sandboxed evaluation build with their brand pre-configured, and their 20 hardest customer DWGs test-loaded.	Member evaluates. TejasCAD supports.
W1–4	Tenant profile finalized: brand assets, EULA, command-prefix, feature flags, license-server endpoint, marketplace share %. License Authority key generated and handed to the member — we never see it again.	Joint.
W5–10	Existing extensions ported to our plugin SDK (95% of LISP works unchanged; .NET migration guide handles the rest). Dedicated migration engineer embedded.	Member engineering + TejasCAD migration lead.
W11–13	Closed beta with 5–15 of the member's own friendly customers under NDA.	Member.
W14+	GA under the member's brand. Signed installers roll out of our build pipeline. AI, cloud, web features go live with their name on them.	Member sells to their customers.

Full detail: docs/tejascad-vs-intellicad.md §6 + docs/tejascad-licensing-architecture.md §5–6.

The lesson from ODA — cheap memberships won

ODA and IntelliCAD sell into **the same market**. Look at what they charge and what it got them.

Entry price	~\$100K / year	\$3K first yr / \$2.25K renewal
Main commercial tier	~\$100K + paid add-ons	\$7.5K first yr / \$4.5K renewal — unlimited seats, no per-seat royalty
Top tier	—	\$37.5K / \$18K — full source, Git access, board nomination
Add-ons	AI ~\$8K, Android ~\$8K	Extensions \$5–10K each
Members	~40	~1,200+
Who's on it	Regional CAD vendors	Bricsys, GstarCAD, ZWCAD, NanoCAD, Graphisoft, Vectorworks, Bentley, Trimble, Dassault

ODA charges roughly 1/20th of ITC and has ~30× the members. That is not an accident — **low friction beat high extraction**, in exactly the market we are entering.

But we cannot simply copy their price, and it's important to be clear why: ODA ships *components*. The member does their own integration, and ODA's cost to serve each member is near zero. **We ship a turnkey white-labeled product with migration support** — our cost to serve is real (~\$70K/member). Price below that and every member loses us money.

So we copy ODA's structure, not their number: a genuinely cheap, genuinely self-serve bottom rung that costs us almost nothing to support — and paid rungs above it where we do real work. That is the next slide.

Two speeds — a wide funnel and a paid core

	(THE ODA LESSON)	(WHERE THE REVENUE IS)
Price	\$6K first yr / \$4K renewal	\$90K – \$450K / yr
Who	Vertical ISVs, BIM-lite startups, individual devs, evaluators	Regional CAD vendors, funded ISVs shipping at scale
What they get	Engine + SDK + build pipeline, docs, community support, marketplace publishing	Full white-label, migration engineering, dedicated support, verticals, AI, multiplatform
Support model	Self-serve. Near-zero cost to serve.	Hands-on. ~\$70K/member/yr
Seat cap	Capped (e.g. 500 seats) — outgrow it, move up	Uncapped
Why we do it	Funnel + ecosystem + marketplace supply	Pays for the platform

The developer tier is not a revenue line — it is the growth engine. Sixty developer members at \$4K is \$240K, which is rounding error.

What it actually buys:

- **Reach into the ~200 vertical ISVs and ~40 BIM-lite startups** who would never write a \$90K cheque but might write a \$6K one
- **A pipeline that graduates upward** — today's \$6K ISV shipping 300 seats is tomorrow's \$180K Growth-tier member
- **Marketplace supply** — plugins need developers, and developers need cheap access
- **The path past ~20 members.** Twenty commercial members is the realistic Y7 ceiling, and that caps the business near \$50M. **A cheap bottom rung is how you get to 60–100.** ODA proved that in this exact market.

This is the one argument that the ceiling is higher than the base case suggests. Twenty commercial members caps out around \$50M — but an ODA-shaped funnel feeding those twenty, and graduating members into them over a decade, is a materially bigger business. It is a **Year 8–12 story, not a Year 7 one**, and it should not change today's decision.

AI: bundle the capability, meter the consumption

AI carries an ongoing marginal cost, and that has to be capped. Bundling inference unmetered would put an **unbounded liability against a fixed fee** — a 10,000-seat member with 20% active AI use could plausibly burn more in inference than their entire platform fee. That single mistake would take the ~70% margin to nothing.

So we treat AI inference exactly as we treat ACIS royalties: a pass-through cost, never a margin line.

MECHANISM	HOW IT WORKS
Per-seat allowance	Each tier includes a modest monthly allowance — enough for normal drafting use
Metered above it	Beyond the allowance, billed at cost plus a small ops margin . Never subsidised.
Bring your own key	Member supplies their own model API key — unlimited use, and it costs us nothing
They resell it	Members price AI to their end customers however they like. It becomes their revenue line, not our cost centre.

And most calls should never hit a frontier model. Routine work — command suggestion, drawing health, block detection — runs on **small or on-device models**. Frontier models are reserved for genuine agent tasks. That is the difference between a cost that scales with usage and one that doesn't.

 **Open item, stated honestly: we do not yet know our real inference cost per active user.** Sizing the allowance requires measuring it. **That is a Phase 1 task**, alongside the customer-hardware performance baseline — and until it is measured, the AI allowance numbers stay deliberately unset.

Membership + royalty, or membership only?

Recommendation: no per-seat royalty to us. Tier by scale instead.

	MEMBERSHIP + PER-SALE ROYALTY	
Revenue scales with member success	Yes	Yes — same economics, via the band
How it reads to an ITC member	A downgrade — ITC is royalty-free at the ITC level	Familiar; like any subscription
Reporting burden	Per-sale reporting, audits, friction	One annual seat attestation
Trust posture	We audit them	They self-attest; we verify the signature
Marketing line	—	“No per-seat royalty to the platform.” Clean and quotable.

The elegant part: our licensing architecture already produces exactly the number we need. The quarterly aggregate attestation — a signed count of active deployments, with no customer identities in it — is already in the design for ACIS royalty reporting. **The tier true-up rides on infrastructure we’re building anyway, and it works without us ever seeing who their customers are.**

Component royalties (ACIS etc.) still pass through at cost — the same \$15–20/sale they already pay. No markup. That’s the one number they can compare directly, so it stays scrupulously clean.

Founding status — earned by tier, not by showing up early

Founding benefits cost us real money. They go to members who bring real reference value and take real risk — not to everyone who signs first.

Who qualifies	Scale / Enterprise (20K+ seats, \$300K+)	Growth (5–20K seats, \$180K)	Launch (\$90K)	\$6K self-serve
Slots available	Max 3	Max 5	uncapped	uncapped
Fee discount	30%, locked 5 yrs	20%, locked 3 yrs	15%, 2 yrs	— <i>(already the cheap rung)</i>
Warrants	Yes — small equity stake, vests 3–4 yrs	No	No	No
Governance	Technical advisory board seat	Roadmap input, no seat	—	—
Vertical co-dev split	50 / 30 / 20	45 / 35 / 20	standard 40 / 40 / 20	n/a
Marketplace fee holiday	24 months	12 months	—	—
Public designation	“Founding Partner”	“Founding Member”	—	—

Two conditions on all of it:

1. **A deadline** — founding agreements must be signed **before platform GA**. After that the designation closes permanently, or it stops meaning anything.
2. **ActCAD does not take a founding slot**. It pays standard Scale-tier rates as the anchor tenant. **The arm’s-length discipline matters more than the discount**, and it keeps all three Partner slots available for genuine external reference customers.

The warrants are the piece worth arguing about. Giving equity to a customer is unusual — but a Founding Partner holding warrants stops being a licensee and becomes an ally who wants the platform **acquired well**. At three slots the dilution is negligible, and it is the strongest retention tool we have against a member drifting back to ITC or building their own.

The passive-revenue picture

The blended fee depends entirely on who actually signs, so here is the assumed mix — not a number pulled from the air. A realistic 12-member book at Year 7:

COUNT	TIER	FEE
4	Launch / Core	\$90K
3	Launch / Plus	\$130K
2	Growth / Plus	\$230K
2	Growth / Complete	\$300K
1	Scale / Plus (ActCAD)	\$360K
12		\$2.17M → ~\$181K blended

Per-member economics on that mix:

LINE	PER MEMBER / YEAR
Platform fee (blended, per above)	~\$181K
Component royalties (ACIS etc.)	\$0 to us — passed through at cost
Marketplace share (15% of ~\$230K GMV, once mature)	~\$35K
Vertical co-development royalty (variable)	~\$15K
Recurring revenue per member	~\$230K
Platform cost to serve one additional member	~\$70K
Gross margin per additional member	~70%

Cost to serve excludes AI inference, which is metered and passed through — see the AI slide. That is what keeps this margin real rather than notional.

What that compounds to:

MEMBERS (INCL. ACTCAD)	RECURRING PLATFORM REVENUE	CONTRIBUTION AT ~70% MARGIN
3	~\$550K/yr	~\$385K/yr
6	~\$1.2M/yr	~\$840K/yr
12	~\$2.8M/yr	~\$2.0M/yr
20	~\$4.6M/yr	~\$3.2M/yr

Early members sit below the mature figure — the ramp means a year-1 member pays half. The 3- and 6-member rows reflect that.

This is on top of ActCAD's own revenue — which we keep, in full, inside Jytra. And it comes from engineering we are funding anyway.

Trust wedge — what we tell members that no one else can

“Ship your licensing through our infrastructure. We architecturally cannot see your customer list, your seat counts, your prices, or your license contents. Not by policy — by cryptography. Third-party audited annually.”

- **Member holds their own License Authority key.** We generate it and destroy our copy at onboarding.
- **License payloads are encrypted with keys we don't have.** Even if we're breached, attackers get ciphertext + aggregate counters.
- **Subpoena-resistant by design.** We cannot break the crypto for a government any more than for an attacker.
- **Survives us.** If TejasCAD ever goes away, the member's licensing keeps working. Playbook shipped with the SDK.

Full technical spec: [docs/tejas-cad-licensing-architecture.md](#) (25 pages, external cryptographic audit planned before v1).

This one property alone is worth a member conversation for every regulated-sector customer they're trying to close. **No competitor offers it. IntelliCAD structurally cannot.**